



Inspironics: Cap Table Transformation & Exit Runway Optimization

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BOARD BRIEFING

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Executive Summary

Inspironics is **not structurally broken** — but it is financially suffocating. A targeted injection of ~\$50K resolves immediate founder liabilities across India and the US, restores execution bandwidth, and unlocks a clear path to exit. The cap table is fragmented, inconsistent, and carries non-compliance risk — but it is fixable. The opportunity is real: clean the structure, reallocate equity, raise strategically, and position for exit within 90 days.

1

Track 1: 0–30 Days

Runway stabilization via bridge capital and liability relief

2

Track 2: 30–60 Days

Cap table restructuring, compliance reactivation, settlement

3

Track 3: 60–90 Days

Exit packaging, data room, broker engagement, valuation

Root Problem: A Liquidity & Structure Failure — Not a Business Failure

The core insight from the Raj discussion was direct: *"This is not a business failure — it is a liquidity and structure failure."* Strong IP and valuation upside exist, but they are obscured by compounding operational friction.

Monthly Burn Pressure

Current burn of **\$4K–\$5K/month** is unsustainable at the current revenue and liability structure, creating constant cash-flow anxiety.

Founder Personal Liabilities

High-pressure India loans (non-forgivable) and structured US debt are consuming founder cognitive bandwidth and limiting strategic focus.

Operational Friction

Microsoft/CSP transition delays, CPA and compliance backlog, and cap table disorder create a compounding drag on daily execution.

Execution Paralysis Risk

Despite strong underlying IP and market positioning, structural chaos threatens to neutralize momentum at a critical pre-exit window.

~\$50K

The oxygen injection needed to clear major friction and restore founder execution capacity.

NOT A FUNDRAISING ROUND

Immediate Financial Reset

Raj's framing was precise: this is not a capital raise — it is an **oxygen injection**. A single targeted allocation eliminates the structural drag suffocating execution and unlocks the runway needed to complete an orderly exit process.

~\$25K

India personal liabilities — high pressure, non-forgivable, resolved immediately

~\$20–25K

US structured debt, compliance backlog, and operational buffer



Outcome: Monthly burden drops from ~\$4–5K to a sustainable ~\$2–3K. Founder is freed to drive exit execution full-time.

Cap Table: Current State Diagnosis

The cap table as it stands today is the single greatest risk to a successful due diligence process. Shares have been issued across cash investors, sweat equity participants, and informal allocations — without a consistent legal or compliance framework. SEC scrutiny risk is explicitly elevated.

Current Composition Issues

- No clear distinction between Preferred and Common share classes
- Sweat equity allocations made informally without proper documentation
- Over-allocation relative to authorized share structure
- Misalignment with SEC and investor compliance expectations

Risk Consequences

Due Diligence Failure

Investors cannot close on an unclear cap table

Valuation Discount

Structural uncertainty is priced against the company

Legal Exposure

SEC scrutiny risk if non-compliance is not remediated

Cap Table Transformation Strategy

A three-step cleanup model converts a liability into a competitive asset — producing a clean, investor-ready equity structure that enables both new capital entry and exit positioning.



Step 1 — Eliminate & Normalize

Reverse inactive and non-contributing allocations. Consolidate small, fragmented holders into the Founder equity bucket. Remove informal grants that lack documentation.



Step 2 — Recover Strategic Equity

Execute targeted buybacks and adjustments: **Erwin buyback** → ~10% at \$350K valuation anchor. **Mohan adjustment** → ~8%. **G2 surrender** → ~4.5%. Net result: significant equity reclaimed.



Step 3 — Create Clean Equity Pool

Establish a fresh **5%–10% equity block** for new investor entry, Ajith settlement structuring, and strategic flexibility during the exit process.

Key Equity Levers Identified

The equity is available — it is simply **poorly structured**. Three levers, executed in sequence, transform the cap table from a liability into an exit-ready asset within 60 days.



Equity Buyback Arbitrage

Erwin: **\$350K valuation anchor** → **10% recovered**. This is the highest-leverage single transaction in the restructuring plan.



Equity Rebalancing

Non-performing or inactive shareholders are adjusted out. Mohan (~8%) and G2 (~4.5%) reallocations normalize the distribution.



New Clean Issuance

A fresh, properly documented share block for incoming capital — structured for investor clarity and SEC compliance from day one.



Funding Strategy: A Realistic Capital Path

Raj's recommended pathway is disciplined and achievable. The raise is not speculative — it is structured around a defined use of funds, a credible narrative (ESG + AI + Platform convergence), and a 12–18 month exit horizon that gives investors a clear liquidity event.

The Structured Ask

Target Ask

\$100K via 5% block (~500 shares) — entry-level, de-risked for investor

Anchor Position

\$200K — opens conversation at higher commitment level

Close Band

\$75K–\$125K — realistic landing zone for family office or angel

Use of Funds

- Close Ajith exposure and resolve outstanding settlement
- Clear remaining founder liabilities (India + US)
- Stabilize 6–9 month operational runway
- Fund data room completion and broker readiness

 Investor narrative: ESG + AI + Platform convergence with a defined exit in 12–18 months. Raj to introduce a family office contact as the first warm lead.

Exit Runway Optimization: Before & After

The restructuring effort is not just about cap table hygiene — it is about reducing the monthly friction cost to a level that sustains focused exit execution. The target structure below is achievable within 30 days of the oxygen injection.

Category	Current State	Target State
Founder Liabilities	High — India + US pressure	Minimal — cleared via \$50K injection
Monthly Ops Burn	~\$4K–\$5K unsustainable	~\$2K–\$3K sustainable
Compliance Status	Backlog active, CPA pending	Reactivated, filings current
Execution Focus	Fragmented, reactive	Focused on exit milestones
Investor Readiness	Cap table unclear	Clean, documented, SEC-aligned



Goal: Sustain 6–9 months of clean, minimal-friction operation — sufficient to complete the exit process and reach a Wedbush broker engagement.

Clarity Unlocks Capital

Investors are not refusing to fund. They are confused by structure, concerned about clarity, and waiting for leadership alignment.

The barrier is not persuasion — it is presentation.

Strategic Insight for the Board

This is the most important framing from the Raj discussion. The capital exists in the market. The interest from investors is real. What is blocking the close is structural ambiguity — a fragmented cap table, unresolved liabilities, and a narrative that has not yet been packaged for investor consumption.

→ Clean the structure

Cap table normalization removes the primary due diligence objection

→ Package the narrative

ESG + AI convergence story with a defined exit timeline closes ambiguity

→ Lead with confidence

Leadership alignment signals to investors that the team is exit-ready

Risks Identified: What Must Be Managed

Four discrete risk categories have been identified. Each is manageable with the actions outlined in this plan — but each escalates significantly if left unaddressed beyond the 30-day window.

SEC / Legal Exposure

Informal share issuances, misclassified equity, and non-compliant allocations create direct regulatory risk. This is the highest-severity item — it can kill a deal in due diligence.

Founder Financial Distress

Personal loan pressure in India and the US is degrading the founder's ability to lead strategically. If unresolved, this becomes an execution breakdown risk within 60 days.

Monthly Runway Shocks

Unpredictable burn spikes erode stakeholder confidence and create fatigue among existing investors and board members who are watching cash closely.

Ajith Timeline Pressure

The outstanding Ajith exposure has a tightening timeline. Delay risks a forced resolution on unfavorable terms, consuming capital and attention at a critical juncture.

Immediate Actions: Next 7 Days

These five actions must begin within the week. Each is a prerequisite for the 30–60 day restructuring plan. Delay on any one of these creates a cascading bottleneck across the entire exit timeline.

01

Engage Legal Counsel

Commission a cap table normalization framework — including share class review, authorization audit, and SEC compliance gap analysis.

02

Prepare Clean Cap Table

Produce an investor-ready cap table version reflecting the target post-restructure state, ready for data room inclusion.

03

Raj Investor Introduction

Raj to formally introduce the family office contact. Schedule an initial call with the structured 5% offering as the entry point.

04

Define 5% Structured Offering

Finalize the term sheet for the 5% clean equity block — pricing, rights, and conditions aligned with the \$100K target raise.

05

Secure \$25K–\$50K Bridge

Initiate emergency bridge outreach. This is the most time-sensitive action — founder liability relief cannot wait for the full raise to close.

30–60 Day Plan: Restructure & Build

With the immediate bridge secured and legal counsel engaged, the 30–60 day window is dedicated to execution and asset-building — converting stabilization into investor-ready infrastructure.

Execute

Cap Table Restructuring

Complete Erwin buyback, Mohan and G2 adjustments, and formal documentation of all share classes.

Ajith Settlement Closure

Resolve outstanding exposure using bridge capital — remove this contingent liability from the cap table entirely.

Compliance Reactivation

Re-engage CPA, clear filing backlog, and bring all regulatory obligations current.

Build

Data Room Completeness

Assemble a complete investor data room: financials, cap table, IP documentation, customer contracts, and compliance certificates.

ESG + AI Platform Narrative

Develop the investor-facing story — positioning Inspironics at the intersection of ESG compliance, AI-driven automation, and enterprise platform value.

60–90 Day Outcome: Exit-Ready State

At the conclusion of the 90-day plan, Inspironics will have transformed from a structurally fragmented company into a clean, investor-ready asset positioned for a formal exit process with defined valuation parameters.



Clean Cap Table

Fully normalized, SEC-aligned equity structure with proper documentation — no open disputes, no informal grants, no compliance gaps.



Broker Engagement

Wedbush-ready positioning — the company meets the threshold for formal M&A broker engagement and structured exit marketing.



Stable Runway

6–9 months of sustainable operations at ~\$2K–\$3K/month burn — enough headroom to execute an orderly exit without cash-driven distress decisions.



Exit Valuation Range

Target exit valuation of **\$10M–\$40M+** — substantiated by IP value, platform architecture, ESG positioning, and cleaned financial structure.



Investor-Ready Data Room

Complete financial, legal, and technical documentation package — ready for institutional investor review and broker-level due diligence.

Closing: One to Two Disciplined Moves Away

This is not a capital problem. This is a structure and sequencing problem. Solve the structure, and the capital follows.

Clean the Cap Table

Unlock credibility with every investor in the pipeline. Remove the single biggest due diligence objection standing between Inspironics and a close.

Stabilize the Runway

Unlock execution capacity. Free the founder from financial distress and give the team the time horizon needed to complete the exit on favorable terms.

Package the Narrative

Unlock valuation. The ESG + AI + Platform story is compelling — it simply needs to be assembled, documented, and delivered with structural confidence behind it.

✔ **Board Directive:** Authorize the 7-day immediate action plan. We are 1–2 disciplined moves away from exit readiness. The window is open — act now.